



Insolvency Services (Accounting and Investment) Act 1970

1970 CHAPTER 8

An Act to amend the law with respect to the Bankruptcy Estates Account and the Companies Liquidation Account and the investment of balances therein, and with respect to the fixing and disposal of fees in bankruptcy and winding-up proceedings; and for purposes connected with those matters. [26th February 1970]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Establishment
of Insolvency
Services
Investment
Account and
abolition of
Bankruptcy
and Companies
Winding-up
(Fees)
Account.

1914 c. 59.

1948 c. 38.

1.—(1) The National Debt Commissioners shall keep with the Bank of England an account to be known as the Insolvency Services Investment Account (in the following provisions of this Act referred to as the Investment Account).

(2) All such payments out of or into the Bankruptcy Estates Account or the Companies Liquidation Account as were before the commencement of this Act required by section 90 of the Bankruptcy Act 1914 or section 361 of the Companies Act 1948 to be made to or by the Treasury shall be made into or out of the Investment Account; and all sums and securities standing to the credit of the account kept by the Treasury under the said section 90 or the said section 361 shall be transferred to the Investment Account.

(3) The Bankruptcy and Companies Winding-up (Fees) Account established under the Economy (Miscellaneous Provisions) Act 1926 shall be wound up and any balance standing to its credit shall be paid into the Consolidated Fund; and there shall also be

1926 c. 9.

paid into the Consolidated Fund all such fees as were before the commencement of this Act required by section 13 or section 16 of the said Act of 1926 to be paid into the first-mentioned Account, that is to say—

- (a) the fees and percentages charged for or in respect of proceedings under the Bankruptcy Act 1914; 1914 c. 59.
- (b) the fees (other than fees to be taken in the Supreme Court) to be taken under the Deeds of Arrangement Act 1914; 1914 c. 47. and
- (c) the fees in respect of proceedings under the Companies Act 1948 in relation to the winding-up of companies in England and Wales. 1948 c. 38.

(4) Section 14 of the said Act of 1926 (provision as to fixing of fees) shall cease to have effect.

2. Any moneys standing to the credit of the Investment Account (including any money received by the National Debt Commissioners by way of interest on or proceeds of any investment under this section) may be invested by the Commissioners, in accordance with such directions as may be given by the Treasury, in any manner for the time being specified in Part II of Schedule 1 to the Trustee Investments Act 1961. Investment of moneys in Investment Account. 1961 c. 62.

3.—(1) Where the annual account to be kept by the National Debt Commissioners under section 7 of this Act shows that in the year for which it is made up the gross amount of the interest accrued from the securities standing to the credit of the Investment Account exceeded the aggregate of— Application of income of Investment Account and adjustment of balances.

- (a) a sum, to be determined by the Treasury, to provide against the depreciation in the value of the securities; and
- (b) the sums paid into the Companies Liquidation Account in pursuance of section 4 of this Act together with the sums paid in pursuance of that section to the Commissioners of Inland Revenue;

the National Debt Commissioners shall, within three months after the account is laid before Parliament, cause the amount of the excess to be paid out of the Investment Account into the Consolidated Fund in such manner as may from time to time be agreed between the Treasury and the Commissioners.

(2) Where the said annual account shows that in the year for which it is made up the gross amount of interest accrued from the securities standing to the credit of the Investment Account was less than the aggregate mentioned in subsection (1) of this section, an amount equal to the deficiency shall, at such times as the Treasury direct, be paid out of the Consolidated Fund into the Investment Account.

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(3) If the Investment Account is insufficient to meet its liabilities the Treasury may, on being informed thereof by the National Debt Commissioners, issue the amount of the deficiency out of the Consolidated Fund and the Treasury shall certify the deficiency to Parliament.

Payment of
interest under
s. 362(4) of
Companies
Act 1948.
1948 c. 38.

4. Where under section 362(4) of the Companies Act 1948 (investment of surplus balances) a company has become entitled to any sum by way of interest the Board of Trade shall certify that sum and the amount of tax payable on it to the National Debt Commissioners and the Commissioners shall pay, out of the Investment Account,—

- (a) into the Companies Liquidation Account, the sum so certified less the amount of tax so certified; and
- (b) to the Commissioners of Inland Revenue, the amount of tax so certified.

Disposal of
certain
unclaimed
dividends and
undistributed
balances.

5.—(1) The Board of Trade shall from time to time pay into the Consolidated Fund out of the Bankruptcy Estates Account and the Companies Liquidation Account respectively so much of the sums standing to the credit of those accounts as represents—

- (a) dividends which were declared before such date as the Treasury may from time to time determine and have not been claimed; and
- (b) balances ascertained before that date which are too small to be divided among the persons entitled thereto.

(2) For the purposes of this section the sums standing to the credit of the Bankruptcy Estates Account or the Companies Liquidation Account shall be deemed to include any sums paid out of those Accounts respectively and represented by any sums or securities standing to the credit of the Investment Account.

(3) The Board of Trade may require the National Debt Commissioners to pay out of the Investment Account into the Bankruptcy Estates Account or the Companies Liquidation Account the whole or part of any sum which the Board are required to pay out of that account under subsection (1) of this section and the Commissioners may direct the sale of such securities standing to the credit of the Investment Account as may be necessary for that purpose.

Recourse to
Consolidated
Fund.

6. If, after any repayment due to it from the Investment Account, the Bankruptcy Estates Account or the Companies Liquidation Account is insufficient to meet its liabilities, the Treasury may, on being informed thereof by the Board of Trade, issue the amount of the deficiency out of the Consolidated Fund and the Treasury shall certify the deficiency to Parliament.

7.—(1) The National Debt Commissioners shall for each year Accounts ending on 31st March prepare a statement of the sums credited and debited to the Investment Account in such form and manner as the Treasury may direct and shall transmit it to the Comptroller and Auditor General before the end of November next following the year.

(2) The Board of Trade shall for each year ending 31st March prepare a statement of the sums received or paid by them under section 89 of the Bankruptcy Act 1914 and section 360 of the Companies Act 1948 respectively in such form and manner as the Treasury may direct and shall transmit each statement to the Comptroller and Auditor General before the end of November next following the year.

(3) Every such statement shall include such additional information as the Treasury may direct.

(4) The Comptroller and Auditor General shall examine, certify and report on every such statement and shall lay copies thereof and of his report before Parliament.

8.—(1) In accordance with the foregoing provisions of this Act section 90 of the Bankruptcy Act 1914 and section 361 of the Companies Act 1948 shall have effect as set out in Schedule 1 to this Act.

(2) The enactments mentioned in Schedule 2 to this Act are hereby repealed to the extent specified in the third column of that Schedule.

9.—(1) This Act may be cited as the Insolvency Services (Accounting and Investment) Act 1970.

(2) This Act shall come into operation on such date as the Treasury may by order made by statutory instrument appoint.

(3) This Act, except section 8(2) and Schedule 2, does not extend to Scotland.

(4) This Act does not extend to Northern Ireland.

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SCHEDULES

Section 8(1).

SCHEDULE 1

**S.90 OF BANKRUPTCY ACT 1914 AND s.361 OF COMPANIES ACT 1948 SET
OUT AS HAVING EFFECT BY VIRTUE OF S.8 OF THIS ACT**

**Investment of
surplus funds.**

90.—(1) Whenever the cash balance standing to the credit of the Bankruptcy Estates Account is in excess of the amount which in the opinion of the Board of Trade is required for the time being to answer demands in respect of bankrupts' estates, the Board of Trade shall notify the excess to the National Debt Commissioners, and shall pay into the Insolvency Services Investment Account the whole or any part of that excess as the Commissioners may require, for investment in accordance with the Insolvency Services (Accounting and Investment) Act 1970.

(2) Whenever any part of the money so invested is, in the opinion of the Board of Trade, required to answer any demands in respect of bankrupts' estates, the Board of Trade shall notify to the National Debt Commissioners the amount so required and the Commissioners shall thereupon repay to the Board of Trade such sum as may be required to the credit of the Bankruptcy Estates Account, and for that purpose may direct the sale of such part of the securities in which the money has been invested as may be necessary.

**Investment of
surplus funds.**

361.—(1) Whenever the cash balance standing to the credit of the Companies Liquidation Account is in excess of the amount which in the opinion of the Board of Trade is required for the time being to answer demands in respect of companies' estates, the Board shall notify the excess to the National Debt Commissioners and shall pay into the Insolvency Services Investment Account the whole or any part of that excess as the Commissioners may require, for investment in accordance with the Insolvency Services (Accounting and Investment) Act 1970.

(2) When any part of the money so invested is, in the opinion of the Board of Trade, required to answer any demands in respect of companies' estates, the Board shall notify to the National Debt Commissioners the amount so required, and the Commissioners shall thereupon repay to the Board such sum as may be required to the credit of the Companies Liquidation Account, and for that purpose may direct the sale of such part of the securities in which the money has been invested as may be necessary.

SCHEDULE 2

Section 8(2).

ENACTMENTS REPEALED

Chapter	Short Title	Extent of Repeal
32 & 33 Vict. c. 91.	The Courts of Justice (Salaries and Funds) Act 1869.	The whole Act, so far as unrepealed.
16 & 17 Geo. 5. c. 9.	The Economy (Miscel- laneous Provisions) Act 1926.	The whole Act, so far as unrepealed.
11 & 12 Geo. 6. c. 38.	The Companies Act 1948	In section 170(5) the words from " but " to the end. In section 210(5) the words from " and proceedings " to the end. In section 365 the proviso to subsection (3).
6 & 7 Eliz. 2. c. 72.	The Insurance Companies Act 1958.	In section 32, in subsection (1) the words from the beginning to " England), " and sub- section (2).